

How does shipping mode affect overall profit and sales volume?

FINDING Shipping mode shows large differences in sales volume, but no detectable link to recorded profit.

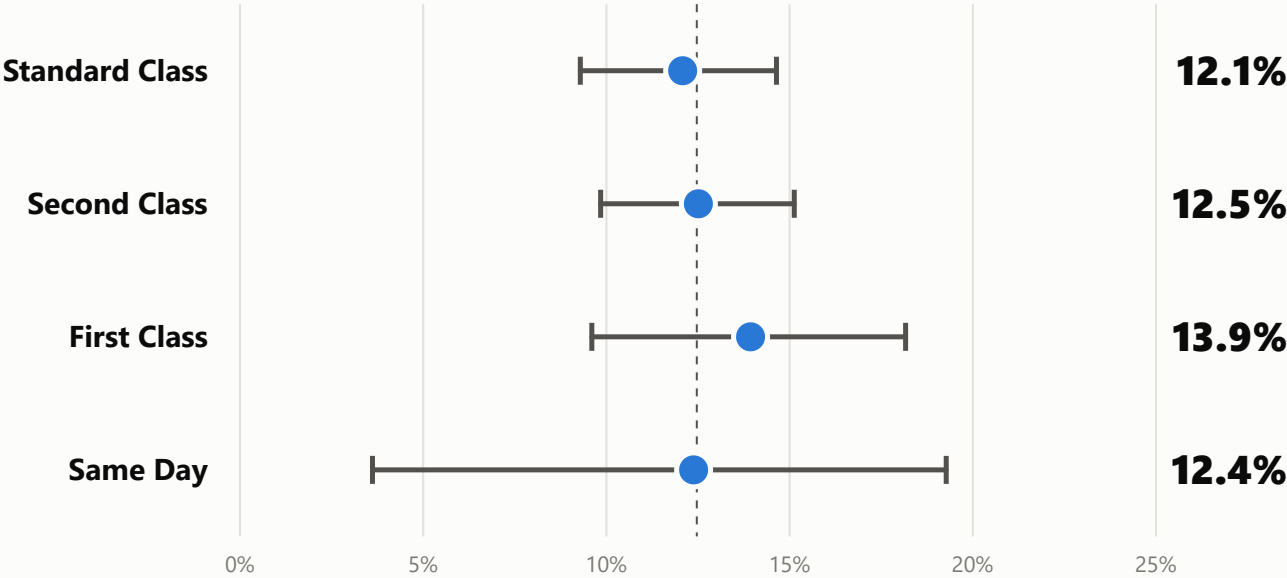
Sales volume differs widely by ship mode

Total sales 2014–2017. Standard Class carries more sales than the other three modes combined.



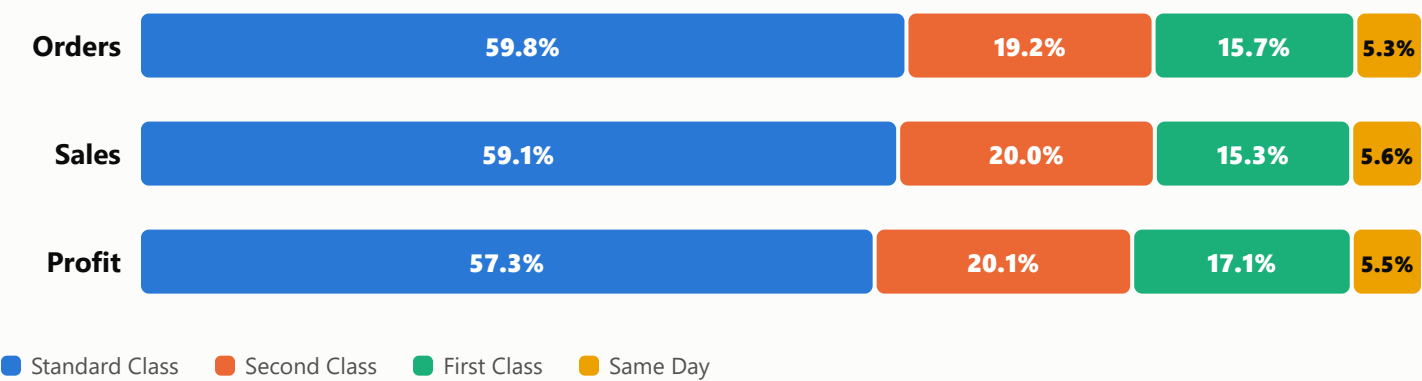
Recorded profit margin is similar across modes

Margin = recorded profit ÷ sales. Bars show 95% intervals; all four overlap. Dashed line = overall margin 12.47%.



Each mode’s share of orders, sales and profit

Profit shares track order and sales shares closely: a mode contributes profit roughly in proportion to its volume.



Every mode’s 95% interval includes the overall margin of 12.47%.

No mode’s profit share differs from its sales share by more than 1.8 points (Standard Class 59.1% of sales vs 57.3% of profit; First Class 15.3% vs 17.1%).

Supporting numbers

SHIP MODE	ORDERS	SALES	PROFIT	MARGIN	95% INTERVAL	AVG ORDER
Standard Class	2,994	\$1.36M	+\$164.1K	12.1%	9.3% – 14.6%	\$454
Second Class	964	\$459K	+\$57.4K	12.5%	9.8% – 15.1%	\$476
First Class	787	\$351K	+\$49.0K	13.9%	9.6% – 18.2%	\$447
Same Day	264	\$128K	+\$15.9K	12.4%	3.6% – 19.3%	\$486
All modes	5,009	\$2.30M	+\$286.4K	12.47%		\$459

Shipping cost is not recorded in this dataset.

Recorded profit therefore cannot show what faster shipping costs; it only shows that recorded margins do not differ detectably by mode (12.1%–13.9%).